CSIS CHINA PROGRAMS

China Daily Brief

Tuesday, October 20, 2026

2,756 words · 11 min read

RE: PBOC rate-anchor shift · DeepSeek federal ban draws MOFA protest · Trump-Xi-Putin summit floated · PLA shadows US warship · Japan rare-earth crunch

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6664	3,735.37	23,867.74	$111.56
▼ -0.38%	▼ -0.85%	▼ -1.66%	▲ +5.32%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. Pan Gongsheng told the Financial Street Forum the PBOC will shift its main policy-rate anchor to the overnight repo rate, a structural overhaul of China's rate-transmission framework.
2. DHS barred DeepSeek products from US federal agency systems; MOFA's Mao Ning called the move a politicization of science, technology and trade issues.
3. The Kremlin floated a Trump-Putin-Xi trilateral summit in China next month; Trump said he's open to it, framing talks around denuclearization.

TOP STORIES

PRC-ECONOMY

PBOC to Shift Policy-Rate Anchor to Overnight Repo

Pan Gongsheng told the 2026 Financial Street Forum on Oct 19 that the PBOC will study shifting the tenor of its main open-market operation instrument to overnight, making the overnight repo rate the primary policy rate. The central bank separately left the one-year and five-year Loan Prime Rates unchanged for a *17th consecutive month*, with the five-year rate holding at 3.5 percent. Bloomberg reported analysts expect the shift to sharpen transmission from the policy rate to market borrowing costs.

REUTERS CHINA; BLOOMBERG CHINA

TECHNOLOGY

US Bars DeepSeek From Federal Systems; Beijing Protests

The US Department of Homeland Security on Oct 19 ordered federal civilian agencies to remove DeepSeek-branded products and third-party tools built on its models, citing risk that *sensitive data* could transfer to China given DeepSeek's PRC-based servers. MOFA spokeswoman **Mao Ning** said China "consistently opposed the overstretching of the concept of national security and the politicisation of issues related to science, technology, and trade." DHS's authority covers civilian agencies only, not military or intelligence services.

AP CHINA; AFP CHINA; CNBC CHINA

DIPLOMACY

Kremlin Floats Trump-Putin-Xi Summit in China Next Month

The Kremlin said **Vladimir Putin**, **Donald Trump** and **Xi Jinping** could hold a three-way meeting in China next month. **Trump** told reporters Monday he is ready, saying talks would focus on "nuclear weapons and denuclearization" but could extend to the Ukraine war. The proposed venue tracks with November's APEC Economic Leaders' Meeting in Shenzhen, Nov 18-19.

REUTERS CHINA

PLA

PLA Navy Tracks USS Charleston Near Sabina Shoal

China's Southern Theatre Command Navy spokesman **Yin Gang** said the USS Charleston "illegally intruded" into waters around Sabina Shoal in the Spratly Islands early Tuesday without approval, and that PLA forces monitored and followed the vessel. Beijing asserts "indisputable sovereignty" over the Spratlys; the shoal sits inside the Philippines' exclusive economic zone.

REUTERS CHINA; SCMP

ENERGY

Tokyo Warns It Is 'Months' From Running Out of Yttrium

Japan has asked Washington to press Beijing to ease export curbs on yttrium, a rare earth used in turbine manufacturing, warning domestic supply could run out within *months* and force factory shutdowns, per FT. The request follows China's broader rare-earth export-control regime, part of which Beijing and Washington agreed to suspend for one year from Nov 10, 2025 under the Busan truce, a suspension due to lapse around Nov 10, 2026 unless extended.

FT CHINA

OVERNIGHT

MULTILATERAL/FINANCE

IMF-World Bank Meetings in Bangkok Show Diminished China Focus · CNBC China

Debt, AI and Ukraine dominated discussion among finance chiefs gathered in Bangkok for IMF-World Bank meetings, per CNBC, with China, the 2018-era focus, receding into the background. The shift reflects broadening global risk concerns beyond the US-China trade relationship.

HEALTH/SUPPLY CHAIN

Some US Cancer Patients Must Obtain Lifesaving Drugs in China · WaPo China

Some American cancer patients are traveling to China to obtain drugs unavailable or unaffordable domestically, per WaPo. The story highlights gaps in the US pharmaceutical pipeline relative to China's faster-moving biotech sector.

TECHNOLOGY/SOCIETY

China's Villages Pay the Price for Beijing's AI Ambitions · FT China

Residents of the remote Shaoguan region hope China's AI infrastructure buildout will deliver a long-promised economic boom, per FT. The piece examines the gap between data-center investment announcements and local economic benefit.

TECHNOLOGY/SECURITY

Z.AI Founders Worked on Research Funded by China Institute UK Ties to Spies · Bloomberg China

The founders of Chinese AI firm Z.AI previously worked on research funded by a Chinese institute that UK authorities have tied to intelligence activity, per Bloomberg. The report adds to scrutiny of funding links between Chinese AI labs and state-security-linked research bodies.

PROPERTY/FINANCE

MTR Bets $5 Billion on a Hong Kong City That Doesn't Exist Yet · Bloomberg China

Hong Kong's MTR is committing *$5 billion* to a planned new urban district, per Bloomberg, betting on long-term property demand despite the city's recent real-estate downturn. The bet tests investor appetite for Hong Kong development risk.

MACRO

PIIE's Posen: US Has K-Shaped Stock Market, China a K-Shaped Economy · CNBC China

Peterson Institute president **Adam Posen** said at Shanghai's Bund Summit that China's current policy stance may not resolve persistent deflationary pressure. He contrasted a US K-shaped stock market with a K-shaped Chinese economy.

US–CHINA

CONGRESS · REUTERS CHINA

US Congress-Appointed Official Calls China's Patrols East of Taiwan 'Destabilising'

A US Congress-appointed official said Chinese naval and coast guard patrols to Taiwan's east are destabilising regional security, per Reuters. The characterization comes amid a pattern of PLA and militia activity expanding beyond the traditional median-line pattern toward Taiwan's Pacific-facing coast.

SANCTIONS · BLOOMBERG CHINA

US Sanctions China's Y Combinator Over Google AI Trade-Secrets Case

The US designated the Chinese venture firm described as China's Y Combinator in connection with a Google AI trade-secrets case, per Bloomberg. The action extends Washington's use of sanctions authority against entities tied to alleged AI-related intellectual-property theft.

EXPORT CONTROLS · REUTERS CHINA

ByteDance, Alibaba, Tencent Place Over $35 Billion in Nvidia Chip Orders

ByteDance, Alibaba and Tencent have placed orders worth more than *$35 billion* for Nvidia chips, Reuters reported exclusively. The order volume shows continued Chinese tech-sector demand for advanced US silicon as the BIS Affiliates Rule suspension, in force since Nov 10, 2025, nears its roughly Nov 10, 2026 expiry.

TARIFF · REUTERS CHINA

China's September US Soybean Imports Rebound From Zero a Year Earlier

China's imports of US soybeans in September rebounded from zero in the same month last year, customs data showed, per Reuters. The recovery follows the May 2026 Trump-Xi summit commitment for China to buy at least $17 billion a year of US farm goods through 2028.

CHINA & THE WORLD

CROSS-STRAIT · TAIPEI TIMES (DIRECT)

Travel Agencies Flout Taiwan's China Group-Tour Ban, Sources Say

Tourism-industry sources told the Liberty Times that agencies are marketing China tours under labels like "cultural visits" despite Taipei's ban on organized group travel in place since February 2024. Taiwanese travel to China rose *19.63 percent* year-on-year to 2.49 million in the first eight months of 2026, the second-most popular overseas destination after Japan.

JAPAN · NIKKEI ASIA CHINA

Japan-US Drills Deploy Advanced Missile Launchers Near Taiwan

The US and Japan began joint exercises Monday bringing state-of-the-art missile systems to a key outpost near Taiwan, per Nikkei Asia. The drills mark continued allied buildup along Japan's southwestern island chain facing the Taiwan Strait and East China Sea.

KOREA · 韩联社中文 (YONHAP CHINESE ZH)

South Korea Defense Minister Kang Shin-chul Meets China's Ambassador Dai Bing

Kang Shin-chul told China's ambassador **Dai Bing** that escalating tension on the Korean peninsula does not serve China's interests either, and called on Beijing to play a constructive role in maintaining peace and stability. Kang also raised China's activity in South Korea's Air Defense Identification Zone and the Yellow Sea.

RUSSIA-CENTRAL ASIA · 国务院 (STATE COUNCIL ZH)

Li Qiang Meets Belarusian PM Turchin in Central Asia Diplomatic Swing

Li Qiang met Belarusian Prime Minister Turchin during an official visit to Tajikistan that also included the 25th meeting of the SCO Heads of Government Council in Dushanbe, per Chinese state media. The trip continues Beijing's deepening of ties across Central Asia and the former Soviet space alongside its Russia relationship.

EUROPE · SCMP

Chinese Carmakers Ramp Up European Production to Dodge Tariffs, Import Quota

Chinese automakers are accelerating plans to build cars inside the EU, via new factories or idle plants of international marques, to get around the bloc's import quota targeting Chinese hybrid EVs, per SCMP. The shift marks a pivot from an export-led to a locally-produced growth strategy in one of the world's largest auto markets.

MIDDLE EAST · 外交部 (MOFA ZH)

Li Qiang Meets Iran's First Vice President Aref

Li Qiang met Iranian First Vice President Mohammad Reza Aref in Beijing, per the Foreign Ministry. The meeting adds to a string of 2026 high-level China-Iran exchanges amid continued Western sanctions pressure on Tehran.

MULTILATERAL · BLOOMBERG CHINA

China Issues Blunt Warning on Global Turmoil at APEC Meeting

Chinese officials delivered a blunt warning on global economic turbulence at this week's APEC finance ministers' meeting, per Bloomberg. The gathering precedes November's APEC Economic Leaders' Meeting in Shenzhen, which China hosts Nov 18-19.

AUSTRALIA-PACIFIC · FOCUS TAIWAN

Parts of Australia to Recognize Taiwanese Driver's Licenses: MOFA

Taiwan's Ministry of Foreign Affairs said parts of Australia will soon recognize Taiwanese driver's licenses, per Focus Taiwan. The move follows a pattern of incremental administrative recognition steps for Taiwan among allied jurisdictions this year, including a Japanese licensing-document change allowing a "Taiwan" nationality listing.

LATIN AMERICA · TAIWAN NEWS

Taiwan Thanks Belize, Paraguay for Rejecting China Sanctions

Taiwan's government thanked Belize and Paraguay, two of its remaining diplomatic allies, for rejecting Chinese pressure, per Taiwan News. Both countries are among the small number of states that maintain formal diplomatic ties with Taipei rather than Beijing.

STAT OF THE DAY

4.5%

China's Q3 GDP growth beats forecasts

Exceeds the 4.4% consensus estimate and Q2's 4.3% pace; the first three quarters of 2026 grew 4.6% against Beijing's 4.5-5.0% full-year target, per FT Chinese's citation of National Bureau of Statistics data.

FT Chinese (FT早报), http://app001.ftchinese.com/interactive/298814

ECONOMY & BUSINESS

MACRO · NYT CHINA

Exports Drive China's Q3 Growth as Housing, Investment Lag

China's Q3 GDP grew *4.5 percent* year-on-year, beating the 4.4 percent consensus estimate and accelerating from Q2's 4.3 percent, per NYT citing NBS data. AI-driven export growth offset weak retail spending and a prolonged housing downturn.

MACRO · WSJ CHINA

China's Factory-Gate Prices Rise at Fastest Pace Since June 2022

China's producer prices rose at their fastest pace since June 2022, per WSJ, pointing to easing industrial deflation even as consumer demand stays soft.

MACRO · REUTERS CHINA

China Holds Loan Prime Rates Steady for 17th Straight Month

The PBOC left its one-year and five-year Loan Prime Rates unchanged for a *17th consecutive month*, with the five-year rate at 3.5 percent per Chinese financial media.

MANUFACTURING / ROCHE, HANSOH PHARMA · WSJ CHINA

Roche Partners With China's Hansoh in Deal Worth Up to $15 Billion

Roche struck a drug-licensing partnership with China's Hansoh Pharma that could be worth more than *$15 billion*, per WSJ.

AUTO / VOLKSWAGEN, XPENG · REUTERS CHINA

Volkswagen's Bet on Xpeng to Save Its China Business Isn't Going to Plan

Volkswagen partnered with Xpeng to revive its China sales but the tie-up has yet to deliver the hoped-for turnaround, per Reuters.

ENERGY / HUACHEN ENERGY · BLOOMBERG CHINA

China's Huachen Energy Risks Fresh Default on $956 Million Debt

Huachen Energy faces a possible fresh default on *$956 million* in debt, per Bloomberg, after repeated prior restructuring.

MANUFACTURING · BLOOMBERG CHINA

Chinese Nickel Firms Plan to Discuss Cutting Indonesian Output

Chinese nickel producers plan to discuss curbing output in Indonesia, per Bloomberg, as prices stay under pressure from oversupply.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · TUESDAY, OCTOBER 20, 2026

商务部/海关总署 · MOFCOM / CUSTOMS · *Joint MOFCOM-Customs notice (unnamed spokesperson)*

Export controls imposed on tunnel-boring machines and related items

MOFCOM and the General Administration of Customs issued Announcement No. 50 of 2026, placing export controls on tunnel boring machines and associated components.

→ MOFCOM ↗

商务部/海关总署 · MOFCOM / CUSTOMS · *Joint MOFCOM-Customs notice (unnamed spokesperson)*

Dual-use item export-control review procedures updated

The two agencies issued Announcement No. 52 of 2026 to further optimize procedures for challenging and verifying dual-use item export-control determinations.

→ MOFCOM ↗

商务部 · MOFCOM · *MOFCOM negotiating delegation*

China-Korea FTA Phase 2 talks hold 17th round in Seoul

Chinese and South Korean negotiators held the 17th round of Phase Two negotiations on the China-Korea Free Trade Agreement in Seoul.

→ MOFCOM ↗

国务院/商务部 · STATE COUNCIL / MOFCOM · *He Lifeng, Vice Premier*

He Lifeng co-chairs 30th China-Russia PM Regular Meeting Committee session

He Lifeng co-chaired the 30th session of the China-Russia Prime Ministers' Regular Meeting Committee with Russian Deputy Prime Minister Chernyshenko.

→ MOFCOM ↗

WHAT BEIJING IS SAYING

外交部 · MOFA · US BAN ON DEEPSEEK IN FEDERAL SYSTEMS — **FIRM · TO US**

Mao Ning '· MOFA spokesperson

“China has consistently opposed the overstretching of the concept of national security and the politicisation of issues related to science, technology, and trade.”

中方一贯反对泛化国家安全概念、将科技经贸问题政治化。我们将坚决维护中国企业的合法权益。

The US Department of Homeland Security on Oct 19 ordered federal civilian agencies to remove DeepSeek-branded AI products, citing data-transfer risk.

AFP China / 外交部发言人 (MOFA presser ZH)

国台办 · TAO · DPP PRESSURE ON TSMC TO SHIFT CAPACITY TO THE US — **FIRM · TO TAIWAN**

TAO spokesperson '· Taiwan Affairs Office spokesperson

“Per 中新网福建: the TAO accused Taiwan's ruling Democratic Progressive Party of pressuring TSMC to transfer production capacity to the United States.”

国台办批民进党施压台积电向美转移产能

The statement follows continued TSMC capacity expansion in Arizona amid US pressure for chip production to move onshore.

中新网福建 (via 国台办 ZH)

新华社时评 · XINHUA COMMENTARY · JAPANESE OFFICIAL VISIT TO YASUKUNI SHRINE — **WARNING · TO JAPAN**

Zhong Sheng (钟声) '· Xinhua/People's Daily signed commentary byline

“Per the Zhong Sheng commentary: by visiting the Yasukuni Shrine, Japan has once again torn off its own 'pacifist disguise.'”

钟声：拜靖国神社，日本再次撕下自己的"和平伪装"

The commentary responds to a Japanese official's Yasukuni Shrine visit, a recurring flashpoint in China-Japan historical disputes.

新华社时评 (via 人民日报)

中国人民银行 · PBOC · POLICY RATE FRAMEWORK SHIFT TO OVERNIGHT REPO — **ROUTINE · TO DOMESTIC**

Pan Gongsheng '· PBOC Governor

“Per Caixin: the People's Bank of China will study the opportune shift of its main open-market operation tenor to overnight, with the overnight repo rate becoming the primary policy rate accordingly.”

人民银行将研究择机把央行公开市场主要操作品种的期限切换为隔夜，公开市场隔夜回购利率将相应成为主要政策利率

Remarks delivered at the opening of the 2026 Financial Street Forum Annual Meeting on Oct 19 in Beijing.

中国人民银行 (PBOC ZH) / 财新

商务部 · MOFCOM · UK PLAN TO JOINTLY COUNTER CHINA'S AUTO INDUSTRY DOMINANCE **FIRM · TO OTHER**

MOFCOM spokesperson '· Ministry of Commerce spokesperson

“Per MOFCOM: Britain should think twice before acting jointly with others to counter China's dominance of the auto industry.”

商务部新闻发言人就英方称将共同应对中国汽车产业占主导地位事答记者问

The statement responds to UK officials signaling plans to coordinate with partners against Chinese automotive-sector dominance.

商务部 (MOFCOM ZH)

• WHAT OTHERS ARE SAYING

AFP · OCT 19, 2026

Donald Trump · US President

“We would have it to talk about nuclear weapons and denuclearization.”

Trump made the remark when asked whether he would meet Xi Jinping and Vladimir Putin in China next month, after the Kremlin floated a trilateral summit.

source

YONHAP CHINESE · OCT 20, 2026

Kang Shin-chul · South Korea Defense Minister

“Escalating tension does not serve China's interests either, and he called on the Chinese government to play a constructive role in maintaining peace and stability on the Korean Peninsula.”

Kang made the request in an Oct 20 meeting with China's ambassador to Seoul, Dai Bing, where he also raised China's activity in South Korea's Air Defense Identification Zone and the Yellow Sea.

source

THE WIRE

DIPLOMACY

SINOCISM

Sinocism Flags Xi's Ulanqab Inspection, Q3 GDP, Export Controls

Sinocism's roundup cites Xi Jinping's inspection of Ulanqab, Inner Mongolia, alongside 4.5% Q3 growth, new export controls and Fifth Plenum preparations.

国防部 (MND ZH)

Xi Sends Letter Marking 70th Anniversary of Socialism Institute

Xi Jinping sent a congratulatory letter marking the 70th anniversary of the Central Institute of Socialism.

ECONOMY

BLOOMBERG CHINA

CATL's Valuation Gap Highlights Investor Divide as Earnings Near

Investors remain split over CATL's valuation ahead of its upcoming earnings release, per Bloomberg.

BLOOMBERG CHINA

China Moves to Curb Hydrogen Overcapacity as Investment Surges

Beijing is acting to rein in overcapacity in its hydrogen sector amid a surge of new investment, per Bloomberg.

NIKKEI ASIA CHINA

Chery Eyes Hybrid Vehicle Launch in Japan Amid Trade Barriers

Chery plans to launch a hybrid vehicle in Japan next year, following BYD into the market, per Nikkei Asia.

TECHNOLOGY

REUTERS CHINA

Huawei-Backed Smart Car Venture to Cooperate With CATL on Battery Swapping

A Huawei-backed smart-car business will cooperate with CATL on battery-swapping technology, per Reuters.

BLOOMBERG CHINA

Alibaba Backs Chinese Robovan Maker in $400 Million Fundraising

Alibaba backed a Chinese autonomous robovan maker in a $400 million fundraising round, per Bloomberg.

REUTERS CHINA

China's MiniMax Launches Updated AI Model M3.1 Flash

MiniMax launched an updated AI model, M3.1 Flash, claiming major performance improvements, per Reuters.

UPCOMING

Oct 25

UN Resolution 2758, 55th Anniversary

The 1971 resolution seated the PRC at the UN; Beijing and Taipei continue to contest its interpretation regarding Taiwan's status.

Nov 3

US Midterm Elections

Control of Congress at stake, shaping the China policy agenda for the Select Committee on the CCP and other committees in 2027.

Nov 10

Busan-Deal Suspensions Approach Lapse

The one-year suspensions of the BIS Affiliates Rule and China's October 2025 rare-earth export controls, agreed at Busan, are due to lapse around this date unless extended.

Nov 18

APEC Economic Leaders' Meeting, Shenzhen

China hosts; the Kremlin has proposed a Trump-Putin-Xi trilateral meeting in China next month, which Trump said Oct 19 he is open to attending.

Nov 28

Taiwan Nine-in-One Local Elections

22 mayors and magistrates and roughly 11,000 offices are at stake, read as a mid-term referendum on President Lai Ching-te.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

Read online · Past issues

You are receiving the China Daily Brief as a member of the CSIS China Programs distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

generated 7:16 AM ET

↑ BACK TO TOP

© 2026 Center for Strategic and International Studies